

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 21-09

HAPAG-LLOYD, A.G. and HAPAG-LLOYD (AMERICA) LLC
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(c)

SECOND MOTION FOR LEAVE TO INTERVENE

COMES NOW, Orange Avenue Express, Inc. ("OAE") and hereby submits its Second Motion for Leave to Intervene pursuant to 46 CFR §§ 502.68(c)(1) and (c)(2)(i).

The Federal Maritime Commission ("Commission") issued its Order of Investigation and Hearing against Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (collectively "Hapag-Lloyd") for possible violations of 46 USC § 41102(c) in Docket No. 21-09.

The Order of Investigation and Hearing noted that the Commission had received information indicating that Hapag-Lloyd may be in violation of 46 USC § 41102(c) with respect to detention charges relating to empty container returns.

Specifically, the Commission decided that an adjudicatory proceeding was required to determine if Hapag-Lloyd was in violation of 46 USC § 41102(c) by its practice of assessing detention charges when;

- A. Hapag-Lloyd failed to provide any equipment return locations, and/or
- B. Hapag-Lloyd did provide an equipment return location, but appointments were unavailable for equipment return during the allocated free time, and/or

C. When charges were being disputed and Hapag-Lloyd was shown evidence that no such appointments were available during free time, Hapag-Lloyd failed to waive detention charges.

The Commission's Bureau of Enforcement ("BOE") has entered into a prospective settlement agreement jointly with Hapag-Lloyd (the "Agreement") and on May 18, 2022 has requested the Presiding Officer to approve the Agreement. While OAE commends the BOE in its efforts and supports settlement of disputes in general, several terms in the Agreement may improperly set forth broad brush standards of conduct that are not in compliance with prior Commission guidance, are violative of the Act and would more appropriately be addressed by a notice of proposed rulemaking, or should otherwise not be part of the Agreement.

OAE has a pending complaint and action against Hapag Lloyd AG which alleges similar violations in Docket No. 21-10. OAE seeks leave to intervene under 46 CFR §502.68 in that, there are overlapping claims being made against Hapag-Lloyd for violation of 46 U.S.C. §41102(c) based on similar factual allegations (see Complaint, Docket 21-10, ¶¶ 17-25, and 40). As such a determination of validity of the terms found the Agreement may impact the pending matters between OAE and Hapag. Separately, as a motor carrier customarily providing drayage services in the Ports of Los Angeles and Long Beach, OAE could be prospectively effected by any ruling thereon as the Agreement purports to give ocean carriers generalized "safe harbor" guidelines moving forward with regard to continuing issues of charging detention on empty container returns without the benefit of any data supporting the terms thereof or comment by the public in general.

OAE previously sought leave to intervene in this docket on December 9, 2021. The Presiding Officer denied OAE's prior motion. Acknowledging that OAE's participation would potentially provide a broader record, the Presiding Officer ultimately concluded, "when all of the

factors are weighted together, and given the unique posture of this proceeding, intervention will not be permitted.”

OAE also submits, its prior motion was denied based upon Hapag Lloyd’s argument that OAE’s complaint in Docket 21-10 concerns the return of empty refrigerated containers and Docket 21-09 only concerns dry containers. However the Agreement and the guidelines included therein do not differentiate between the two types of containers.

Now that the underlying matter has been adjudicated the balance should now tip in favor of OAE’s intervention. OAE seeks leave to intervene at this juncture so that it can provide a brief addressing the insufficiencies and possible unintended consequences of the Agreement for consideration of the Presiding Officer and Commission. Examples of some of the issues in the Agreement are provided below. If intervention is allowed, OAE requests 10 days from the date of entry of the order of intervention to file its brief regarding the Agreement.

1. The Agreement Terms.

The Agreement, in addition to \$2,000,000.00 of penalties to be paid by Hapag-Lloyd, sets forth certain guidelines that an ocean carrier and motor carriers must establish and follow moving forward regarding disputed per diem charges on empty containers.

For ease of review, the Agreement provides in its pertinent part:

“5. [Hapag-Lloyd] will agree to the following undertakings:

A. Hapag-Lloyd will publish to its website and tariff the following policy with respect to the submission of requests for waivers or refunds of detention charges:

i. All disputes or requests for waiver or refund of detention charges imposed by or on behalf of Hapag-Lloyd should be submitted to:

<Website will list current email address and phone no.>

ii. *Request for a Waiver*

When a person (for the purposes hereof, “person” shall include a person or entity) requests a waiver or refund of detention charges imposed by or on behalf of Hapag-Lloyd, a person must provide credible evidence that at all locations where Hapag-Lloyd equipment could be returned for all days covered by the dispute:

a. (1) An appointment was required for a transaction involving only the return of equipment of the size and type at issue or (2) the acceptance of an empty container of the size and type at issue was conditioned upon the pickup of a loaded container from the terminal (a “dual-transaction”); and

b. For all days covered by the dispute, the motor carrier was (as applicable) unable to secure an appointment or did not have a dual-transaction available.

iii. *Evidence of Unavailability*

For purposes of the foregoing, the following guidance is provided as to proof of unavailability of appointments:

a. A person wishing to obtain a waiver or refund of detention charges imposed for a specific date (each such date a “Waiver Date”) on the grounds that an appointment was not available on the Waiver Date must provide a screenshot of the appointment system(s) of each terminal utilized by Hapag-Lloyd at the relevant port (in the case of equipment returned to the port) or of the appointment system of each inland facility used by Hapag-Lloyd in a particular inland region (in the case of equipment return to such a facility) taken the day prior to the Waiver Date and on the Waiver Date. Such screenshots must be taken between 6:00 a.m.-12:00pm (noon)

the day before the Waiver Date and between 6:00a.m. and 9:00 a.m. on the Waiver Date, in the time zone of the applicable terminal.

b. Screenshots of third-party websites purporting to show unavailability of appointments will be accepted as valid evidence of the information displayed therein provided they meet the following criteria:

1. The third-party website is in widespread use and is generally recognized as reliable and accurate.

2. The screenshot(s) shows the entire screen (including URL) and appointment information for all shifts for all Hapag-Lloyd terminals.

3. The screenshot(s) include an automatically generated date/time stamp or an image of the date and time displayed on screen.

4. The screenshot(s) submitted documents the basis for the dispute (i.e., lack of appointments, chassis restrictions, dual turn requirements, etc.).

c. If a screenshot shows an available appointment that the disputing person asserts could not be used by the motor carrier, the dispute must include a description of why the appointment could not be used.

d. With respect to an inability to perform a dual-transaction, the party submitting the dispute must include a statement from the motor carrier that it attempted in good faith to arrange for a dual-transaction and after reasonable efforts was unable to do so.

iv. *The dispute will be denied with respect to any day covered by the dispute for which such evidence is not provided.*

v. *Hapag-Lloyd shall grant such request unless it has conducted an appropriate investigation into the claim and determined in good faith that appointments were reasonably available at the relevant terminal(s) or other facilities on the date(s) in question. In making such good faith assessment, Hapag-Lloyd may consider the following:*

a. *Reports from the relevant facility that appointments were reasonably available.*

b. *Reports maintained by Hapag-Lloyd that appointments were reasonably available on the date/time in question.*

c. *Such other factors and evidence as may reasonably bear on the validity of the request, including, but not limited to, relevant data relating to equipment return on the Waiver Date.*

vi. *Hapag-Lloyd will endeavor to respond to the dispute within thirty (30) days.*

B. *Hapag-Lloyd will conduct a training session regarding the FMC's Interpretative Rule, 46 C.F.R. § 545.5, for all employees involved in the billing of detention, demurrage, or per diem or the handling of disputes related thereto.*

C. *Hapag-Lloyd will clarify in its communications with motor carriers that the return location information posted on its website with respect to the return of empty equipment in Los Angeles/Long Beach is advisory only and is not intended to constitute an exhaustive list of the locations to which a motor carrier may return Hapag-Lloyd equipment.*

D. Hapag-Lloyd will post on its website a complete list of locations that it has authorized to accept empty Hapag-Lloyd containers, updated daily by 4:00 p.m. of the time zone of the return location(s) for the subsequent day.

2. The Motion for Approval of the Agreement.

By way of a joint motion, the BOE and Hapag-Lloyd seek to have the Agreement approved by the Presiding Officer and ultimately by the Commission. The joint motion correctly points out that, “[i]n so deciding, the Presiding Officer “reviews a settlement agreement to ensure that it does not contravene law or public policy.” *World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing (a.k.a. Johnny Yu) – Possible Violations of Section 10 of the Shipping Act of 1984 (World Chance)*, 31 S.R.R. 1346, 1350 (FMC 2010) (citations omitted). The parties have represented that Respondents, in the Agreement “commit to establishing a just and reasonable policy and practice regarding detention disputes, agree to publish that policy—including instructions for disputing charges and documentation standards—on their website, and train staff regarding the FMC’s Interpretive Rule, 46 C.F.R. § 545.5; 85 FR 29638 (Interpretive Rule).”

OAE has concerns that an approval of the agreement could improperly be couched as precedent of “just and reasonable practices” of Hapag-Lloyd and other ocean common carriers, without the benefit from outside briefing, data or comment.

3. Examples of issues within Agreement.

In Docket No. 19-05, the Commission issued its notice of proposed rulemaking in an effort to articulate an “Interpretive Rule on Demurrage and Detention under the Shipping Act.” (the “NPRM”). The NPRM indicated its purpose was: “The Federal Maritime Commission is seeking public comment on its interpretation of the Shipping Act prohibition against failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property with respect to demurrage and detention. Specifically, the Commission is providing guidance as to what it will consider in assessing whether a demurrage or detention practice is unjust or unreasonable.” Now, without comment or further

Commission guidance or action(s) under the Administrative Procedure Act, the parties to the Agreement would have this Presiding Officer prospectively approve and deem certain practices in compliance with the Act and the Commission's regulations.

A. Problems with the appointment system.

Certain provisions of the Agreement should be subject to detailed scrutiny. For example, the Agreement is based on the assumption that an ocean carrier may impose an appointment system for the return of empty containers, notwithstanding its general obligation to have adequate terminal facilities see 85 FR 29638, 29650. It is the ocean carrier's obligation to have sufficient space and labor to accept empty containers. In contrast with an appointment system which may be used to pick up full containers, OAE submits any appointment system for the return of empties may actually impede cargo velocity.

Assuming an appointment system is valid and applicable to the return of empty containers, the Agreement allows an ocean carrier to deny a motor carrier's disputed detention charge if a complaining party does not satisfy certain "trip wire" requirements, such as, a screen shot with the lack of appointments taken the day before and the day of the attempted return; screen shots be taken during certain times of the day; and the content of the screen shots, including all shifts when Hapag-Lloyd had previously argued herein it was its policy to only address detention charges on the first shift, (see Agreement, paragraphs 5(A)(iii)(a) & (b)). Instead of merely being one example of how a motor carrier may present a dispute, it is a shield being afforded to the ocean carrier since the agreement provides prospectively "The dispute will be denied with respect to any day covered by the dispute for which such evidence is not provided." (see Agreement paragraph 5(A)(iv)). Further, notwithstanding any evidence provided, the ocean carrier may still deny the request for waiver or refund if it determines "that appointment were reasonably available at the relevant

terminals...” (Agreement paragraph 5(A)(v)). OAE submits with regards to appointment compliance, the Agreement does nothing more than provide the ocean carrier a shield in which to deny claims for conduct which might otherwise be violations of the Act.

Likewise there are conflicting provisions related to the publishing of available locations to return empty containers in the first instance. In the Agreement, the Hapag Lloyd submits that the daily publication of locations to return empty containers was not comprehensive but advisory only as to the ocean carrier’s preferred location, (see Agreement, paragraph 5(C)). Yet Hapag-Lloyd must also post a list of all locations available for return of empty equipment (see Agreement, paragraph 5(D)). Also, paragraph 5(d) requires posting of the location list by 4:00 p.m. for the subsequent day returns, while a motor carrier is obligated to take screen shots of appointments between 6:00 a.m. and noon on that same day (Agreement, paragraph 5(A)(3)(a)). In short, not only may a motor carrier not rely upon the location(s) suggested by the ocean carrier, the motor carrier must consult all possible locations in order to be able adequately challenge detention charges *before* the locations are posted for equipment returns.

B. Problems with dual transactions.

The Agreement also gives legitimacy to “dual transactions” which were found to be suspect by the Commission, 85 FR 29638, 29655. Instead of addressing if dual transactions are valid in the first instance, the Agreement assumes the validity of imposing a dual transaction as a restriction on returning an empty containers, and allows the ocean carrier to assess detention if a motor carrier cannot adequately “prove” it could not satisfy the dual transaction requirement. Indeed, OAE has argued a dual transaction constitutes an unreasonable preference or practice per 46 U.S.C. §41104(a)(3) and (8) and thus is an independent violation of the Act beyond any violation of 46 U.S.C. § 41102(c). The Agreement goes farther than simply requiring that the motor carrier show

it did not *have* a dual transaction, instead it must show it “attempted ... to *arrange for* a dual transaction” (emphasis added, Agreement, 5(A)(iii)(d). How can the Agreement place an obligation on the motor carrier to seek out other full loads, when all that should be required is the ability to return an empty? Also the Agreement does not address the impact of a motor carrier having fewer full loads to pick up than the quantity of empties to return. In that case, how will per diem be addressed, especially if the loads and empties are for different cargo owners and ocean carriers?

In short, whether couched in terms of the draconian ways in which a motor carrier must comply with a unilaterally imposed appointment system or the suspect dual transaction requirement(s), the Agreement purports to give ocean carriers unprecedented protection from prospective Shipping Act violations. In addition, while applicable to any “party”, the Agreement is focused on a motor carrier’s ability to return an empty container, instead of the ability of a cargo owner to do so.

The above was not meant to be an exhaustive recital of all issues potentially found in the Agreement, but rather demonstrative of how briefing by OAE could assist in the preparation of an adequate record on which to rule upon the motion for approval of the Agreement.

4. OAE should be allowed to intervene.

Commission Rule 68(c)(1) allows intervention of right.

“The presiding officer or Commission must permit anyone to intervene who claims an interest relating to the property or transaction that is subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest, unless existing parties adequately represent that interest” 46 C.F.R. § 502.68(c)(1).

In addition, Commission Rule 68(c)(2) allows permissive intervention.

“The presiding officer or Commission may permit anyone to intervene who shows that a common issue of law or fact exists between such person’s interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person’s participation may reasonably be expected to assist in the development of a sound record” 46 C.F.R. § 502.68(c)(2)(i).

OAE seeks to intervene on both counts in that any decision approving the Agreement may have the unintended consequence of impacting the future decision on the alleged violations against Hapag Lloyd in docket no. 21-10 concerning an ocean carrier’s procedures and practices in assessing detention when returning empty ocean containers, and also will assist the presiding officer in the decision to approve or not approve the Agreement.

OAE is mindful of its prior motion which was denied. However, the instant motion is different in scope and purpose. The current motion is limited to intervention for the purposes of providing comment on the proposed Agreement.

The Agreement is not a commercial agreement between two private parties. It is a compromise between BOE and an ocean common carrier as a result of an investigation initiated by the Commission. It should therefore be subject to great scrutiny and OAE as an effected third party should be allowed to intervene. OAE can provide insight and perspective as to the consequences of approving the Agreement on its current dispute and operations going forward as a drayman in the Ports of Long Beach and Los Angeles.

OAE does not seek to participate in any discovery but rather seeks intervention to provide its brief on the propriety of the Agreement and can do so within 10 days of the date of any order

approving its intervention. Thus there will be no undue delay in the approval process, nor will OAE's intervention add any significant burden to this tribunal or the parties or broaden the scope of docket no 21-09. Any minor burden, will be outweighed by the benefit of OAE's participation. Instead it will assist with the establishment of a sound record.

OAE files this motion more than 30 days after publication of the complaint herein (46 C.F.R. § 502.68(c)(3)) since the Agreement became public only on May 18, 2022. OAE was diligent in making this motion within a reasonable time thereafter.

5. Conclusion

As stated at the onset, OAE supports the parties' efforts to settle this matter and understands the utility of settlements in resolution of Commission investigations. However, OAE seeks a small window in which to provide independent briefing on the propriety of terms of the Agreement so that the Presiding Officer may have a complete record before any approval or disapproval thereof.

Date: May 25, 2022

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that on this 25th day of May, 2022, the foregoing Motion to Intervene has been served upon all interested persons and parties by electronic means pursuant to the below list.

Executed May 25, 2022

Stephen M. Uthoff

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